



“I REMAIN VERY OPTIMISTIC ON THE OUTCOMES OF [TRADE] DEALS, WITH OUR SEASONED NEGOTIATORS BALANCING VARIOUS DIMENSIONS”

▶▶▶

While the reciprocal tariffs by the US are on a 90-day pause for now, how can India make the best of this situation?

It is difficult to predict given the current fluid situation, with multiple reconfigurations in US tariff proposals. It will take time for the situation to stabilise. The US-China agreement is encouraging from a global perspective, but whether they might

be net negative for Indian exports is not clear. I am waiting for the outline of the early harvest contours of the US-India bilateral trade agreement, as well as the India-European Union negotiations.

▶▶▶

Along with the proposed BTA with the US and negotiations for foreign trade agreements with several countries, what measures should India

take to grow its foreign trade and exports?

The Government of India has proactively initiated a calibrated review of various trade measures, including a general reduction of tariffs and duties, as well as tailored to the specific contours of the bilateral trade blocs. I remain very optimistic on the outcomes of these deals, with our seasoned trade negotiators balancing various dimensions of trade, investment, intellectual property, non-tariff barriers, labour mobility, etc. Domestic policy measures will also help to augment India's export competitiveness.

▶▶▶

The government is looking at deregulation to ease the compliance burden on businesses and attract investments. What reforms would you suggest for this?

The Indian government has long recognised our challenges in terms of competitiveness and has proactively formulated policy measures to offset these. The policies are gradually yielding results. The government has over the years introduced measures to deregulate various sectors, liberalised foreign direct investment (FDI) policies, simplified the tax code and reduced tax rates. Structural reforms include introduction of rationalised labour codes, continuing removal of obsolete laws and regulations, accelerated alignment of policies in the

digital ecosystem with global best practices, and much more.

▶▶▶

India's investment scenario continues to be seen as challenging by several foreign investors and FDI inflows have been on a downward trajectory. What can be done on this front to revive FDI inflows?

Lower net FDI into India is part of the global trend, largely due to flows into the US. This began well before the current US administration and is partially the outcome of the actions of the Biden administration but will likely accelerate going ahead. The real FDI picture is more complex. At \$75.1 billion, gross FDI into India during April-February FY25 was actually higher than the corresponding 11 months of FY24 (\$65.2 billion). The lower net FDI flows had been due both to significantly higher repatriation of profits as well as outbound FDI from India (which increased by \$8 billion and \$11 billion, respectively, FY25). The former may be explained by profit taking through IPO exits and other disinvestments. The latter needs better clarity on the underlying causes; a part of it is likely to have been for mergers and acquisitions by Indian companies looking for markets access, technology or raw materials. **BT**

@surabhi_prasad